# Practice workbook · Monetary policy: interest rates and the central bank

Definitions of monetary policy and interest rates, the central bank's role and asset purchasing, and the transmission from interest rates to borrowing, saving, spending, the exchange rate, inflation, output and unemployment.

23 question parts: 1 worked-example retry and 22 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T21-28

# 1. Question 3 · part d · 6 marks

2023 NOV · Paper 02

Worked-example retry · Attempt part d only.

**3** (a) How many UK pounds (£) can be bought with $50 if the exchange rate is $1 = £0.75?

**(1)**

- ☒ **A** £25
- ☒ **B** £37.50
- ☒ **C** £66.66
- ☒ **D** £75

Many governments provide parks.

(b) Which **one** of the following is a reason for this provision?

**(1)**

- ☒ **A** To reduce the number of tourists
- ☒ **B** To reduce property values in the area
- ☒ **C** To reduce damage to the environment
- ☒ **D** To reduce space for leisure and recreation

South Korea had a current account surplus of $880m in October 2022.

(c) Explain **one** reason why an increase in the price of imports may have had a positive impact on South Korea's current account.

**(3)**

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# 1. Question 3 · part d · 6 marks

2023 NOV · Paper 02

Worked-example retry · Attempt part d only.

In December 2022, the US Federal Reserve raised interest rates for the seventh time that year to 4.5%, its highest level in 15 years. Interest rates are predicted to increase to 5.25% by the end of 2023.

(d) With reference to the data above and your knowledge of economics, analyse how monetary policy can help to reduce inflation in a country such as the US.

(6)

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# 1. Question 3 · part d · 6 marks

2023 NOV · Paper 02

Worked-example retry · Attempt part d only.

In November 2022, the unemployment rate in Australia was 3.4%. The number of unemployed fell by 7,400 to 491,700. Employment increased by 64,000 to a new record of 13.77 million.

Unemployment remains at a near 50-year low as the recovering Australian economy faces a labour shortage. This is caused by a lack of migration and fewer short-term visa holders.

**Australian Unemployment Rate (%) in 2022**

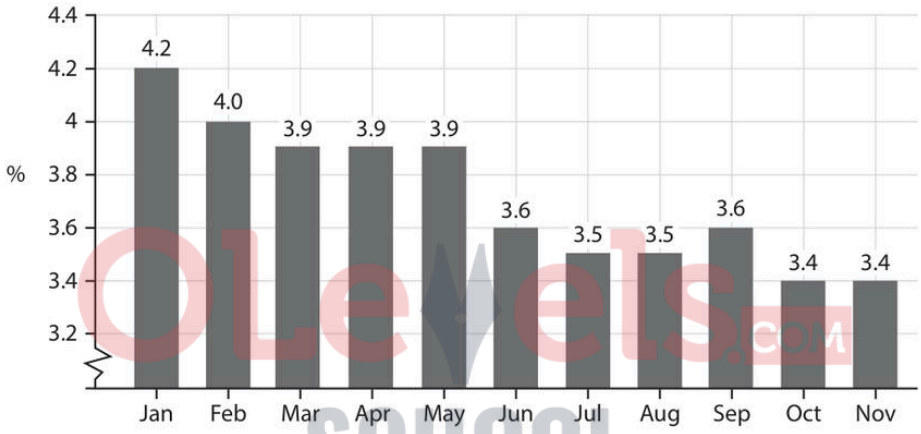



**Figure 4**

(e) With reference to the data above and your knowledge of economics, assess the possible benefits of low unemployment rates on tax revenues for a country such as Australia.

**(9)**

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## 1. Question 3 · part d · 6 marks · Working and answer

Working and answer

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## 2. Question 2 · part b · 1 mark

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

**2** (a) GDP per capita is a measure of a country's economic output that accounts for population.

If Sweden has a population of 10 million and a GDP of $511 bn (1bn = 1 000 000 000), then its GDP per capita is

(1)

- ☒ **A** $511
- ☒ **B** $5 110
- ☒ **C** $51 100
- ☒ **D** $511 000

(b) What is the name of the policy that focuses on interest rate changes?

(1)

- ☒ **A** Deregulation
- ☒ **B** Exchange rate
- ☒ **C** Monetary
- ☒ **D** Fiscal

(c) State **one** impact of a current account deficit.

(1)

(d) What is meant by the term absolute poverty?

(2)

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## 2. Question 2 · part b · 1 mark · Working and answer

Working and answer

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## 3. Question 1 · part c · 2 marks

2019 JUN · Paper 02

Further practice · Attempt part c only.

**1** (a) The increased integration and interdependence of economies is known as

(1)

- ☒ **A** privatisation
- ☒ **B** specialisation
- ☒ **C** protectionism
- ☒ **D** globalisation

(b) What is the main cause of frictional unemployment?

(1)

- ☒ **A** People choosing not to work
- ☒ **B** People having the wrong skills
- ☒ **C** People changing jobs
- ☒ **D** People employed at certain times of the year

(c) What is meant by the term interest rate?

(2)

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## 3. Question 1 · part c · 2 marks

2019 JUN · Paper 02

Further practice · Attempt part c only.

(d) Describe **one** impact on consumers of a decrease in interest rates.

(2)

Rachel buys a t-shirt for 1 000 Kenyan shillings (KES) when she is on holiday.
The exchange rate is £1 = 137.73 KES.

(e) Calculate, to two decimal places, the price in sterling (£) of Rachel's t-shirt. You are advised to show your working.

(2)

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## 3. Question 1 · part c · 2 marks · Working and answer

Working and answer

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# 4. Question 1 · part d · 2 marks

2019 JUN · Paper 02

Further practice · Attempt part d only.

**1** (a) The increased integration and interdependence of economies is known as

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# 4. Question 1 · part d · 2 marks

2019 JUN · Paper 02

Further practice · Attempt part d only.

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## 4. Question 1 · part d · 2 marks · Working and answer

Working and answer

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## 5. Question 4 · part b · 6 marks

2020 JAN · Paper 02

Further practice · Attempt part b only.

**4** Figure 4 shows Kenya's interest rate (%) from January to October 2018.

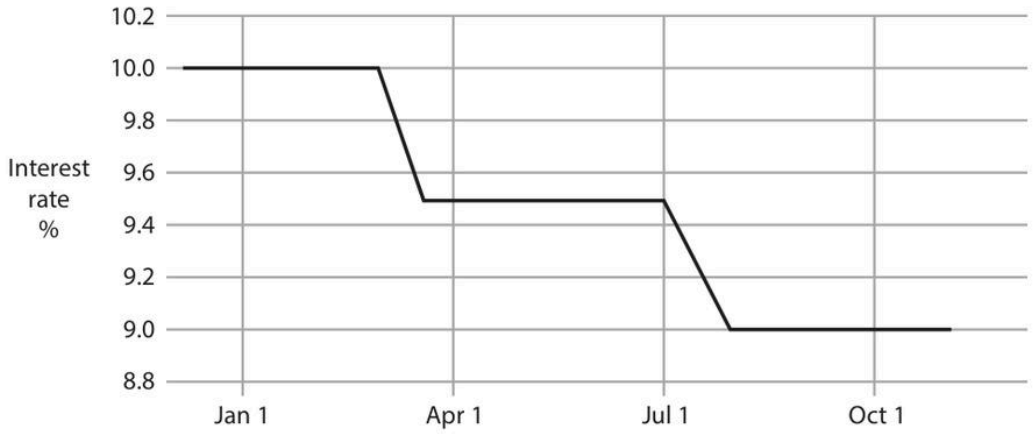



**Figure 4**

(Source: https://tradingeconomics.com/kenya/interest-rate)

(a) Calculate the **percentage change** in Kenya's interest rate between January and October 2018. You are advised to show your working.

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## 5. Question 4 · part b · 6 marks

2020 JAN · Paper 02

Further practice · Attempt part b only.

The annual rate of inflation in Kenya was 5.7% in September 2018 and fell to 5.53% in October 2018.

(b) Analyse how monetary policy could be used to further reduce the rate of inflation in Kenya.

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Turn over

## 5. Question 4 · part b · 6 marks

2020 JAN · Paper 02

Further practice · Attempt part b only.

Kenya is the third largest exporter of cut flowers in the world, accounting for 1.3% of its GDP. Kenya's main airport has a terminal dedicated especially to the transport of flowers and vegetables.

The Kenyan flower industry has created many employment opportunities. Around 100,000 people are employed directly on the flower farms and over 500,000 people benefit indirectly from this industry.

Over half of Kenya's 127 flower farms are concentrated around Lake Naivasha due to the large amount of water needed to grow the flowers. Some environmental campaigners have expressed concerns over the impact that the flower industry could have on the lake.

(c) With reference to the data above and your knowledge of economics, evaluate the likely benefits for Kenya of the globalisation of its flower industry.

(12)

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## 5. Question 4 · part b · 6 marks · Working and answer

Working and answer

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## 6. Question 1 · part c · 2 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part c only.

**1** (a) What type of unemployment is likely to be caused by generous welfare benefits?

(1)

- ☒ **A** Seasonal
- ☒ **B** Cyclical
- ☒ **C** Voluntary
- ☒ **D** Structural

(b) What name is given to the phase in the economic cycle when consumers start to regain confidence and economic activity is on the increase?

(1)

- ☒ **A** Boom
- ☒ **B** Downturn
- ☒ **C** Recession
- ☒ **D** Recovery

(c) What is meant by the term central bank?

(2)

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## 6. Question 1 · part c · 2 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part c only.

(d) Describe **one** disadvantage of free trade for domestic businesses.

**(2)**

Figure 1 shows the income tax rates for Cyprus in 2018. George earns €21 000 as a manager. This means George only pays tax on €1 500.

| Taxable income (€) | Tax rate (%) |
|---|---|
| 0 to €19 500 | 0% |
| €19 501 – €28 000 | 20% |

**Figure 1**

(e) Calculate the **net pay** in euros (€) for George. You are advised to show your working.

**(2)**

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## 6. Question 1 · part c · 2 marks · Working and answer

Working and answer

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## 7. Question 3 · part b · 1 mark

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part b only.

**3** (a) Cost-push inflation is most likely to result from an increase in (1)

- ☒ **A** the rate of income tax
- ☒ **B** productivity
- ☒ **C** wage rates
- ☒ **D** government spending

(b) Monetary policy would involve changes in which one of the following? (1)

- ☒ **A** Government spending
- ☒ **B** Interest rates
- ☒ **C** Taxation
- ☒ **D** Balance of payments

The consumption of avocados in the US used to be restricted to the summer months when farmers in California harvested their crops. Now avocados are available all year and 90% are imported from Mexico.

(c) Explain **one** way globalisation has affected consumers in the US. (3)

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## 7. Question 3 · part b · 1 mark · Working and answer

Working and answer

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## 8. Question 3 · part e · 9 marks

2020 NOV · Paper 02

Further practice · Attempt part e only.

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**3** (a) Which **one** of the following is likely to be a trade-off as a result of increased economic growth?

**(1)**

- ☒ **A** Increased employment
- ☒ **B** Increased inflation
- ☒ **C** Higher standards of living
- ☒ **D** Higher fiscal surplus

(b) Which type of taxation has a higher proportion of income paid as income rises?

**(1)**

- ☒ **A** Indirect
- ☒ **B** Progressive
- ☒ **C** Business
- ☒ **D** Value added tax (VAT)

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# 8. Question 3 · part e · 9 marks

2020 NOV · Paper 02

Further practice · Attempt part e only.

Palm oil is used in food and cosmetics. Palm plantations are a major agricultural activity in Indonesia. Many of the plantations are owned by foreign multinational corporations (MNCs).

(c) Explain **one** advantage for Indonesia of the palm oil plantations being owned by foreign MNCs.

**(3)**

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## 8. Question 3 · part e · 9 marks

2020 NOV · Paper 02

Further practice · Attempt part e only.

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In 2018, Italy entered a recession after the country's manufacturing sector decreased for the third month in a row. Gross domestic product (GDP) fell by 0.1% from July to September.

(d) Analyse the impact on unemployment of a recession in a country such as Italy.

**(6)**

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# 8. Question 3 · part e · 9 marks

2020 NOV · Paper 02

Further practice · Attempt part e only.

China's central bank has recently eased monetary policy due to slowing in economic growth. This included bringing down interest rates to 4.35%.

China Interest Rate (%)




(Source adapted from: https://tradingeconomics.com/china/interest-rate)

**Figure 2**

(e) With reference to the data above and your knowledge of economics, assess the likely effectiveness of monetary policy in increasing economic growth for a country such as China.

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## 8. Question 3 · part e · 9 marks

2020 NOV · Paper 02

Further practice · Attempt part e only.

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**(Total for Question 3 = 20 marks)**

## 8. Question 3 · part e · 9 marks · Working and answer

Working and answer

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## 9. Question 4 · part c · 12 marks

2021 JUN · Paper 02

Further practice · Attempt part c only.

**4** Zhang Li had 8 000 Yuan (¥) in her savings account. The annual interest rate for this savings account was 2.25%.

(a) Calculate how much **interest, in Yuan (¥)**, Zhang Li received in one year. You are advised to show your working.

**(2)**

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# 9. Question 4 · part c · 12 marks

2021 JUN · Paper 02

Further practice · Attempt part c only.

In July 2019, China's annual inflation rate increased to 2.8%. This was the highest rate since February 2018.

(b) With reference to the data above and your knowledge of economics, analyse the impact of inflation on individuals in a country such as China.

**(6)**

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# 9. Question 4 · part c · 12 marks

2021 JUN · Paper 02

Further practice · Attempt part c only.

Since March 2019 the overall inflation rate for China has been above 2%. In July 2019, China's food prices increased by 9.1% from the previous year. In particular, meat prices rose by 27% due to the spread of infectious animal diseases. At the same time fresh fruit prices rose by 39.1% as the Chinese fruit supply had been affected by severe weather.

China's central bank is called the People's Bank of China (PBOC). The PBOC has the responsibility of maintaining price stability and promoting growth through the management of monetary policy.




(Source adapted from: tradingeconomics.com)

**Figure 5**

(c) With reference to the data above and your knowledge of economics, evaluate the effectiveness of monetary policy in controlling inflation in a country such as China.

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## 9. Question 4 · part c · 12 marks

2021 JUN · Paper 02

Further practice · Attempt part c only.

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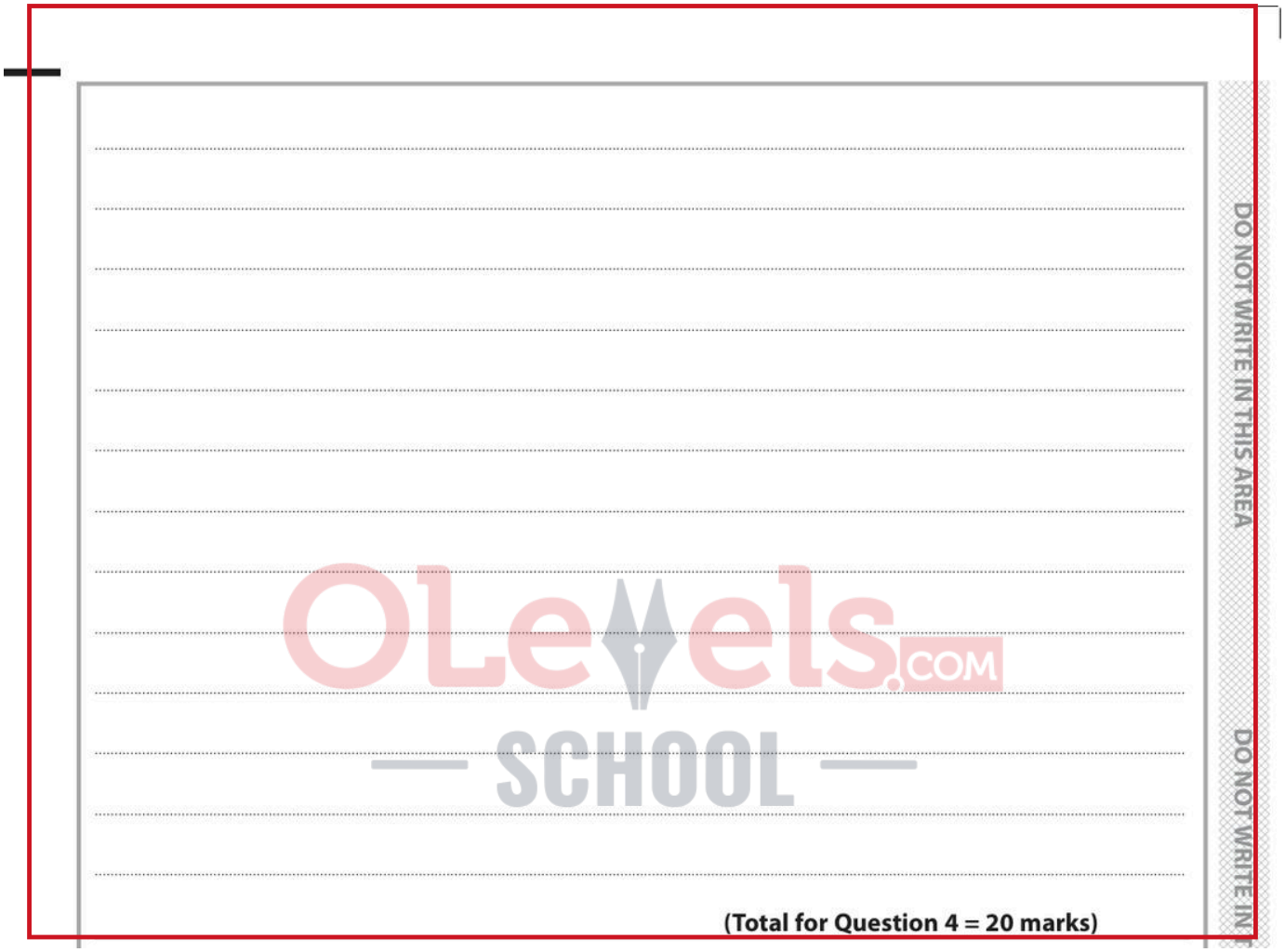
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## 9. Question 4 · part c · 12 marks

2021 JUN · Paper 02

Further practice · Attempt part c only.




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## 9. Question 4 · part c · 12 marks · Working and answer

Working and answer

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## 10. Question 1 · part h · 6 marks

2021 NOV · Paper 02

Further practice · Attempt part h only.

**1** (a) Which **one** of the following terms refers to a physical limit on the quantity of imported products allowed into a country?

(1)

- ☒ **A** Devaluation
- ☒ **B** Dumping
- ☒ **C** Public good
- ☒ **D** Quota

(b) Which **one** of the following names is given to the government policy that aims to increase the productive capacity of the economy?

(1)

- ☒ **A** Trade
- ☒ **B** Fiscal
- ☒ **C** Supply-side
- ☒ **D** Exchange rate

(c) What is meant by the term downturn?

(2)

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## 10. Question 1 · part h · 6 marks

2021 NOV · Paper 02

Further practice · Attempt part h only.

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(d) What is meant by the term infant industries?

**(2)**

In August 2019 Inter Milan, an Italian football club, paid £73m to Manchester United for the transfer of footballer Romelu Lukaku. The exchange rate was £1 = €1.08.

(e) Calculate **the price Inter Milan paid in euros (€)** for the transfer of Romelu Lukaku. You are advised to show your working.

**(2)**

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## 10. Question 1 · part h · 6 marks

2021 NOV · Paper 02

Further practice · Attempt part h only.

In December 2019, the USA imposed a 10% tariff on toys imported from China.

(f) Using the diagram below, draw the likely effect of the introduction of this tariff on the equilibrium price and quantity of toys imported from China. Label the new curve, the new equilibrium price and new equilibrium quantity.

**(3)**

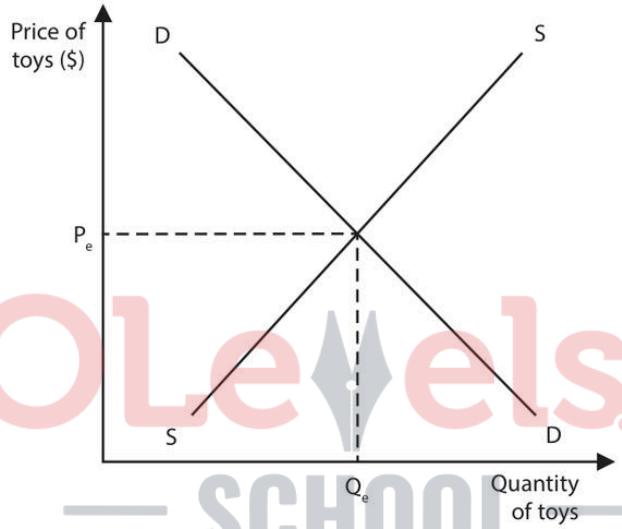



**Figure 1**

Economic growth in Malaysia increased to 4.9% between April and June 2019.

(g) Explain **one** disadvantage of economic growth for a country such as Malaysia.

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## 10. Question 1 · part h · 6 marks

2021 NOV · Paper 02

Further practice · Attempt part h only.

Kenya's annual inflation rate increased to 6.27% in July 2019 from 5.7% in the previous month. Kenya's central bank base rate for July was 9%.

(h) With reference to the data above and your knowledge of economics, analyse how monetary policy can be used to control inflation in a country such as Kenya.

(6)

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**(Total for Question 1 = 20 marks)**

## 10. Question 1 · part h · 6 marks · Working and answer

Working and answer

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## 11. Question 2 · part b · 1 mark

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

**2** (a) Which **one** of the following means having more of one thing but less of another thing?

(1)

- ☒ **A** Menu costs
- ☒ **B** Trade-off
- ☒ **C** Opportunity cost
- ☒ **D** Trading bloc

(b) Which **one** of the following is a role of a central bank?

(1)

- ☒ **A** Investing in firms
- ☒ **B** Raising taxes
- ☒ **C** Asset purchasing
- ☒ **D** Lending money to individuals

(c) State **one** type of inflation.

(1)

(d) What is meant by the term fiscal surplus?

(2)

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## 11. Question 2 · part b · 1 mark · Working and answer

Working and answer

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## 12. Question 1 · part b · 1 mark

2022 JUN · Paper 02

Further practice · Attempt part b only.

**1** (a) A firm is described as a multinational corporation (MNC) if it

(1)

- ☒ **A** has shareholders in many countries
- ☒ **B** exports goods to other countries
- ☒ **C** is owned by the government
- ☒ **D** operates in more than one country

(b) An increase in which **one** of the following would be most likely to encourage saving?

(1)

- ☒ **A** Interest rate
- ☒ **B** Income tax rate
- ☒ **C** Exchange rate
- ☒ **D** Indirect tax rate

(c) What is meant by the term imports?

(2)

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## 12. Question 1 · part b · 1 mark · Working and answer

Working and answer

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## 13. Question 4 · part c · 12 marks

2023 JAN · Paper 02

Further practice · Attempt part c only.

**4** Figure 4 shows labour force information for Mexico in the third quarter of 2020.

| | |
|---|---|
| Labour force | 51,011,033 |
| Number of unemployed | 2,769,491 |

**Figure 4**

(Source adapted from: https://tradingeconomics.com/mexico/unemployed-persons)

(a) Calculate, to two decimal places, the **rate of unemployment** for Mexico in the third quarter of 2020. You are advised to show your working.

**(2)**

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## 13. Question 4 · part c · 12 marks

2023 JAN · Paper 02

Further practice · Attempt part c only.

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In Mexico the minimum wage was increased by 15% to 141.7 pesos (US $7.15) in 2021. Nearly 11 million workers in Mexico are paid the minimum wage.

(b) Analyse the impact of increasing wages on inflation in Mexico.

**(6)**

OLevels.com SCHOOL

## 13. Question 4 · part c · 12 marks

2023 JAN · Paper 02

Further practice · Attempt part c only.

In December 2020, Mexico had its biggest fall in GDP for nearly 100 years. Its GDP fell by 9.3% compared to 2019. Inflation was at 3.3% and had exceeded its target rate of 3% in August and October 2020.

Mexico's central bank kept its interest rate at 4.25% in December 2020. This followed 11 reductions in interest rates and the central bank said it needed time to assess the country's economic situation.

**Mexican Interest Rate (%)**

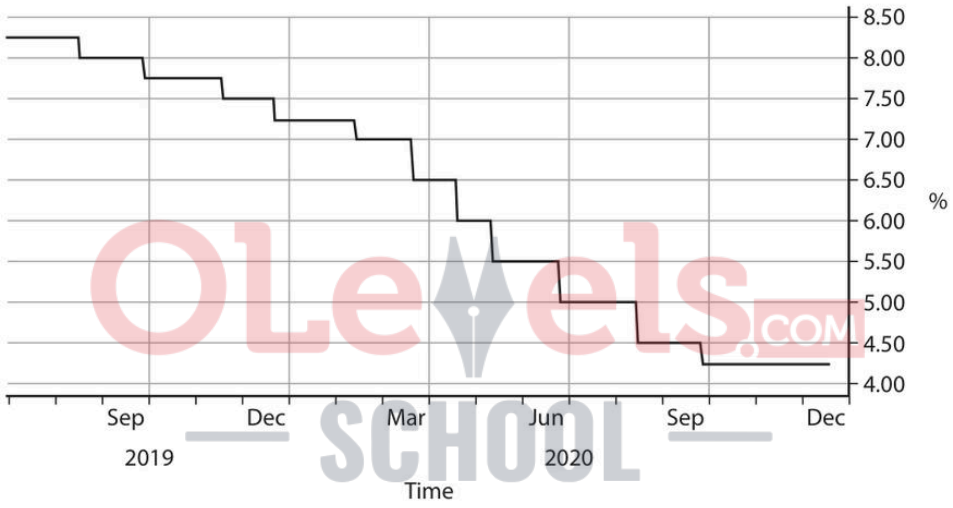



**Figure 5**

(Source adapted from: https://www.bloomberg.com/news/articles/2020-12-17/mexico-holds-key-interest-rate-despite-abrupt-inflation-slowdown)

(c) With reference to the data above and your knowledge of economics, evaluate the effectiveness of monetary policy in increasing total output in a country such as Mexico.

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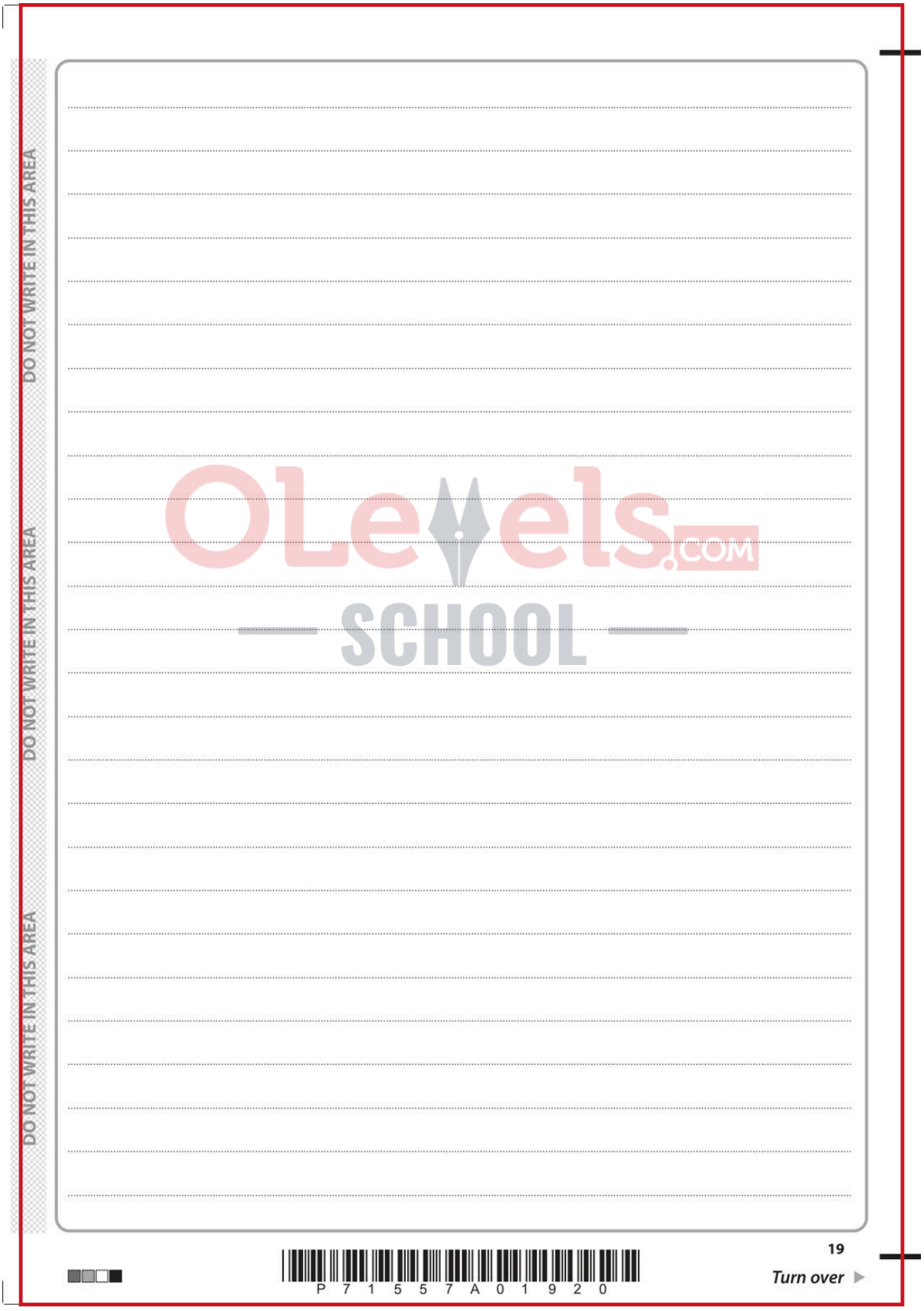
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## 13. Question 4 · part c · 12 marks

2023 JAN · Paper 02

Further practice · Attempt part c only.



## 13. Question 4 · part c · 12 marks

2023 JAN · Paper 02

Further practice · Attempt part c only.

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**(Total for Question 4 = 20 marks)**

## 13. Question 4 · part c · 12 marks · Working and answer

Working and answer

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## 14. Question 2 · part a · 1 mark

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part a only.

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**2** (a) When a central bank buys government bonds from commercial banks it is known as

(1)

- ☒ **A** asset purchasing
- ☒ **B** privatisation
- ☒ **C** payment of interest
- ☒ **D** deregulation

The euro (€) is the currency used in Italy and the pound sterling (£) is the currency used in the UK.

(b) If the exchange rate changes from £1 = €1.20 to £1 = €1.10 then

(1)

- ☒ **A** UK pound sterling (£) has appreciated against the euro (€)
- ☒ **B** holidays in Italy will be cheaper for UK tourists
- ☒ **C** imports from Italy to the UK will be cheaper
- ☒ **D** UK exports to Italy will be cheaper

(c) State **one** possible trade-off with economic growth.

(1)

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(d) What is meant by the term devaluation?

(2)

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## 14. Question 2 · part a · 1 mark · Working and answer

Working and answer

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## 15. Question 2 · part c · 1 mark

2023 JUN · Paper 02

Further practice · Attempt part c only.

**2** (a) Fiscal policy would involve a change in which **one** of the following?

(1)

- ☒ **A** Exchange rates
- ☒ **B** Interest rates
- ☒ **C** Production rates
- ☒ **D** Tax rates

(b) A savings account has €5 000 in it at the start of the year. If the interest rate is 2%, what is the total amount in the account at the end of the year?

(1)

- ☒ **A** €100
- ☒ **B** €2 500
- ☒ **C** €4 900
- ☒ **D** €5 100

(c) State **one** role of a central bank.

(1)

(d) What is meant by the term current account surplus?

(2)

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## 15. Question 2 · part c · 1 mark · Working and answer

Working and answer

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## 16. Question 1 · part c · 2 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

**1** (a) Which **one** of the following is a disadvantage of multinational corporations (MNCs) operating in a country?

(1)

- ☒ **A** Developing capital
- ☒ **B** Investing in infrastructure
- ☒ **C** Creating jobs
- ☒ **D** Environmental damage

(b) Which **one** of the following describes voluntary unemployment?

(1)

- ☒ **A** Unemployment caused by a lack of demand for a particular skill
- ☒ **B** Unemployment caused by changes in the business cycle
- ☒ **C** Unemployment caused by individuals choosing not to work
- ☒ **D** Unemployment caused by seasonal fluctuations in the demand for labour

(c) What is meant by the term monetary policy?

(2)

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## 16. Question 1 · part c · 2 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

(d) Describe **one** advantage of privatisation for a government.

**(2)**

Figure 1 shows selected UK Government receipts from taxation in February 2023.

| | £bn |
|---|---|
| Income tax | 20.0 |
| Sales tax (VAT/GST) | 14.3 |
| Business taxes | 7.6 |
| Excise duties | 3.7 |
| Customs duties | 0.4 |

**Figure 1**

(e) Calculate the **total amount of revenue** in £bn raised by indirect taxes in February 2023. You are advised to show your working.

**(2)**

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## 16. Question 1 · part c · 2 marks · Working and answer

Working and answer

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## 17. Question 2 · part e · 3 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

**2** (a) Which **one** of the following is the calculation for the rate of unemployment in a country?

**(1)**

- ☒ **A** Total labour force/Total population × 100
- ☒ **B** Number of unemployed/Total labour force × 100
- ☒ **C** Number of employed/Total labour force × 100
- ☒ **D** Total unemployment/Total population × 100

(b) Which **one** of the following describes a role of the World Trade Organization (WTO)?

**(1)**

- ☒ **A** Help with trade negotiations
- ☒ **B** Regulates multinational corporations
- ☒ **C** Provides financial assistance to developing countries
- ☒ **D** Stabilises exchange rates

(c) State **one** possible reason for a current account surplus.

**(1)**

(d) What is meant by the term relative poverty?

**(2)**

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## 17. Question 2 · part e · 3 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

In March 2020, the European Central Bank (ECB) purchased €1.85 trillion worth of assets including government bonds and corporate bonds.

(e) Explain **one** benefit of asset purchasing by a central bank such as the ECB.

**(3)**

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## 17. Question 2 · part e · 3 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

Figure 3 shows the supply of and demand for UK pounds (£), as well as the equilibrium exchange rate against the euro (€). UK interest rates increased from 4% to 4.25% in March 2023.

(f) Using the diagram below, draw the likely effect of this rise in UK interest rates on the equilibrium exchange rate of the UK pound (£) against the euro (€). Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity.

**(3)**

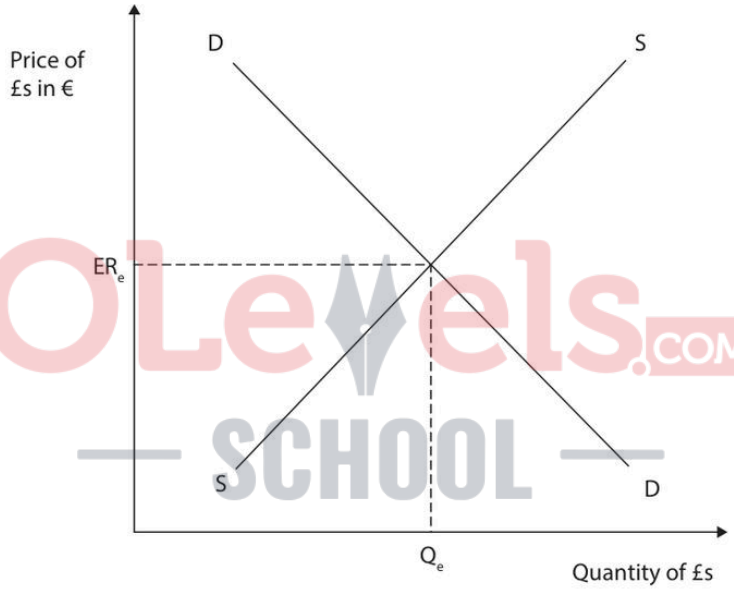



**Figure 3**

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## 17. Question 2 · part e · 3 marks · Working and answer

Working and answer

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## 18. Question 4 · part b · 6 marks

2024 JUN · Paper 02

Further practice · Attempt part b only.

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**4** Figure 5 shows the government revenue and expenditure for Canada in 2021–2022.

| | Canadian dollars CAD$bn |
|---|---|
| **Total revenue** | 38.815 |
| **Total expenditure** | 35.897 |

**Figure 5**

(a) Calculate the **fiscal deficit or surplus** in CAD$bn for Canada in 2021–2022.
You are advised to show your working.

**(2)**

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## 18. Question 4 · part b · 6 marks

2024 JUN · Paper 02

Further practice · Attempt part b only.

In April 2023, the inflation rate in Canada fell to 5.2%. The Governor of the Bank of Canada, Tiff Macklem, said, "Interest rates may have to stay at 4.5% to ensure inflation declines to the Bank of Canada's 2% target".

(b) With reference to the data above and your knowledge of economics, analyse the relationship between inflation and interest rates for a country such as Canada.

(6)

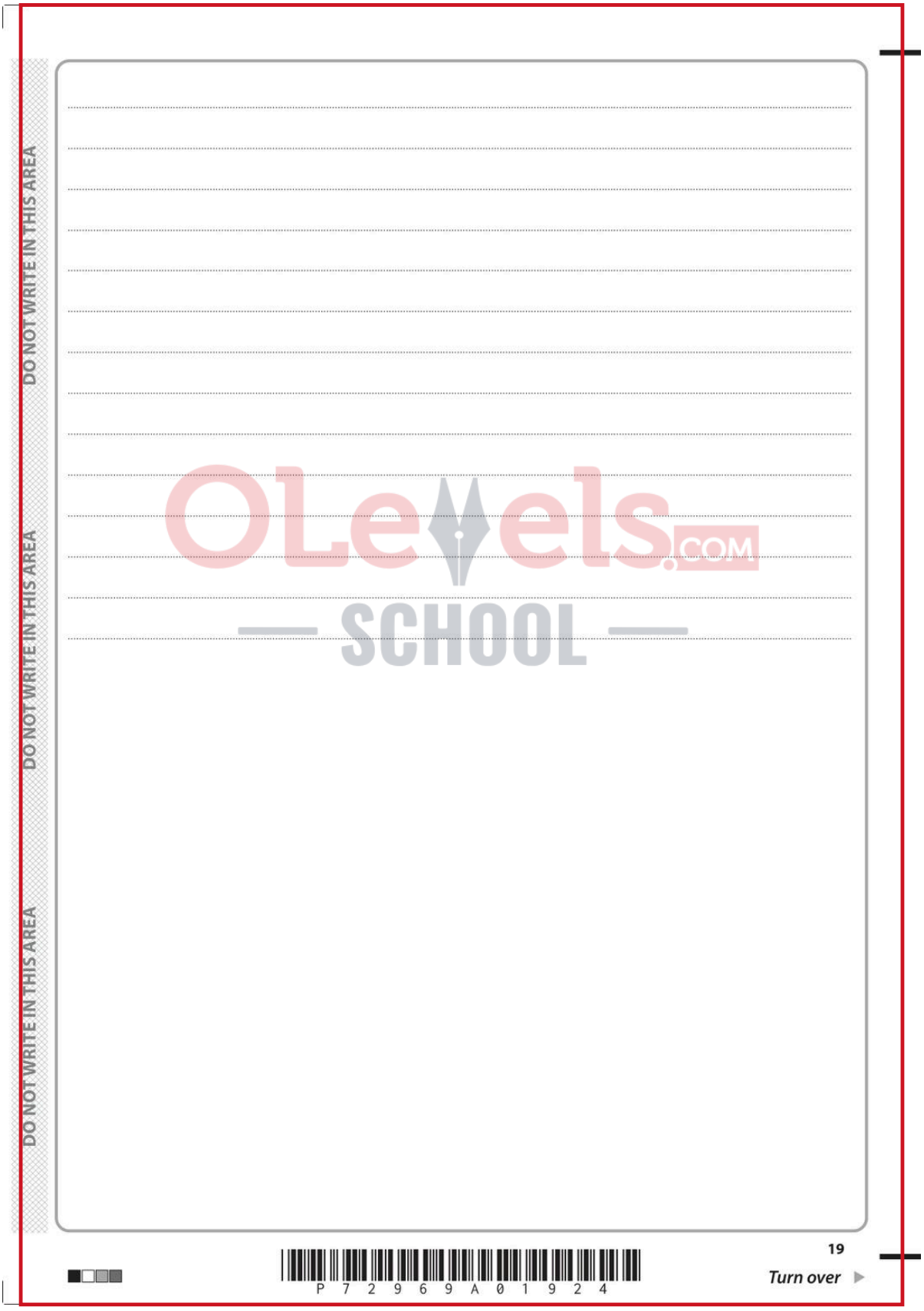
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## 18. Question 4 · part b · 6 marks

2024 JUN · Paper 02

Further practice · Attempt part b only.



## 18. Question 4 · part b · 6 marks

2024 JUN · Paper 02

Further practice · Attempt part b only.

In March 2023, the unemployment rate in Canada stayed at 5% for the fourth consecutive month. There are one million job vacancies and the country is suffering from structural unemployment. A quarter of these job vacancies are for low skilled jobs.

To address these skills shortages, the Canadian Government is launching several new education and training programmes.

- **Skills for success**: Helping Canadians at all ability levels improve their foundation and transferable skills, such as digital skills.
- **Financial support for adult learners**: $815m over five years which covers up to 50% of training fees.
- **Labour mobility improvements**: $595m over six years to make it more affordable to travel to where the jobs are.

(c) With reference to the data above and your knowledge of economics, evaluate the possible advantages of using education and training to reduce structural unemployment for a country such as Canada.

(12)

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## 18. Question 4 · part b · 6 marks · Working and answer

Working and answer

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## 19. Question 2 · part d · 2 marks

2024 NOV · Paper 02

Further practice · Attempt part d only.

**2** (a) Which **one** of the following is a rise in the value of an exchange rate in a floating exchange rate system?

(1)

- ☒ **A** Appreciation
- ☒ **B** Depreciation
- ☒ **C** Revaluation
- ☒ **D** Devaluation

(b) Which **one** of the following is a reason why there is protection for international trade?

(1)

- ☒ **A** To allow dumping
- ☒ **B** To promote free trade
- ☒ **C** To protect domestic jobs
- ☒ **D** To increase the current account deficit

(c) State **one** possible impact of globalisation on consumers.

(1)

(d) What is meant by the term asset purchasing?

(2)

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## 19. Question 2 · part d · 2 marks

2024 NOV · Paper 02

Further practice · Attempt part d only.

In China there are restrictions on coal consumption and emissions from factories. These restrictions have led to job losses in some industries.

(e) Explain **one** reason why there might be a trade-off between economic growth and environmental protection for an economy such as China.

**(3)**

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## 19. Question 2 · part d · 2 marks · Working and answer

Working and answer

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## 20. Question 3 · part e · 9 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

**3** (a) Which **one** of the following is a feature of being a member of a trading bloc?

**(1)**

- ☒ **A** Higher tariffs on exports to other members within the bloc
- ☒ **B** Slower delivery times for goods within the bloc
- ☒ **C** Can only trade with members within the bloc
- ☒ **D** Access to a larger market within the bloc

Figure 3 shows imports and exports for a country in $bn.

| | **$bn** |
|---|---|
| Exports of goods | 300 |
| Exports of services | 80 |
| Imports of goods | 240 |
| Imports of services | 50 |

**Figure 3**

(b) What is the **visible trade balance** in $bn for the country?

**(1)**

- ☒ **A** $30bn
- ☒ **B** $60bn
- ☒ **C** $90bn
- ☒ **D** $250bn

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## 20. Question 3 · part e · 9 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

The fiscal deficit of the US is expected to increase from $1.6tn to $2.6tn over the next 10 years.

(c) Explain **one** possible disadvantage of having a fiscal deficit for a country such as the US.

**(3)**

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## 20. Question 3 · part e · 9 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

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Consumers in the UK are very unhappy with another rise in inflation. The consumer price index (CPI) was 3.9% in November and increased to 4% in December 2023.

(d) With reference to the data above and your knowledge of economics, analyse the possible impact of rising inflation on shoe leather costs for consumers in the UK.

**(6)**

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## 20. Question 3 · part e · 9 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

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## 20. Question 3 · part e · 9 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

Gross domestic product (GDP) growth in France is forecast to remain low over the next two years. Consumer spending is expected to improve as inflation reduces. However, a weak outlook for the German economy, France's main trade partner, and low growth in China are expected to limit any increases in growth.

As a result, unemployment levels are expected to remain high. The interest rate in France (as set by the European Central Bank) was 4.5% in December 2023, but may change in the future.

| France | December 2023 |
|---|---|
| GDP growth rate | 1% |
| Inflation | 5.8% |
| Unemployment | 7.2% |

**Figure 4**

(e) With reference to the data above and your knowledge of economics, assess how effective monetary policy might be in decreasing unemployment for a country such as France.

**(9)**

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## 20. Question 3 · part e · 9 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.



## 20. Question 3 · part e · 9 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

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**(Total for Question 3 = 20 marks)**

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## 20. Question 3 · part e · 9 marks · Working and answer

Working and answer

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## 21. Question 1 · part d · 2 marks

2025 JUN · Paper 02

Further practice · Attempt part d only.

**1** (a) Which **one** of the following is the most likely reason for increased globalisation?

(1)

- ☒ **A** Higher number of tariffs and quotas
- ☒ **B** Lower transportation costs
- ☒ **C** Reduced significance of multinational corporations
- ☒ **D** Increased communication costs

(b) What is likely to happen if a government successfully reduces unemployment?

(1)

- ☒ **A** Inflation might rise as more people have money to spend
- ☒ **B** More people working leads to lower overall economic growth
- ☒ **C** Inflation decreases because people have less money to spend
- ☒ **D** Government spending on benefits would increase

(c) What is meant by the term trading bloc?

(2)

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# 21. Question 1 · part d · 2 marks

2025 JUN · Paper 02

Further practice · Attempt part d only.

(d) Describe **one** impact on consumers of an increase in interest rates.

**(2)**

Figure 1 shows imports and exports for a country in €bn.

| | €bn |
|---|---|
| Exports of goods | 150 |
| Exports of services | 40 |
| Imports of goods | 120 |
| Imports of services | 30 |

**Figure 1**

(e) Calculate the **visible trade balance** in €bn for the country. You are advised to show your working.

**(2)**

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## 21. Question 1 · part d · 2 marks · Working and answer

Working and answer

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## 22. Question 2 · part a · 1 mark

2025 JUN · Paper 02

Further practice · Attempt part a only.

**2** (a) Which **one** of the following is a government policy that changes the rate of interest?

**(1)**

- ☒ **A** Fiscal
- ☒ **B** Supply-side
- ☒ **C** Monetary
- ☒ **D** Exchange rate

(b) Which **one** of the following is an example of deregulation?

**(1)**

- ☒ **A** Introducing a limit on government salaries
- ☒ **B** Allowing more foreign firms into the domestic market
- ☒ **C** Introducing compulsory employee training requirements
- ☒ **D** Increasing consumer protection laws

(c) State **one** possible advantage of foreign direct investment (FDI) for an economy.

**(1)**

(d) What is meant by the term indirect tax?

**(2)**

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## 22. Question 2 · part a · 1 mark · Working and answer

Working and answer

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## 23. Question 2 · part g · 9 marks

2025 NOV · Paper 02

Further practice · Attempt part g only.

**2** (a) Which **one** of the following describes a trade bloc?

**(1)**

- ☒ **A** A group of countries that use the same currency
- ☒ **B** A group of countries that have the same tax rates
- ☒ **C** A group of countries that have the same language
- ☒ **D** A group of countries that reduce trade barriers between themselves

(b) Which **one** of the following best describes the role of currency speculators?

**(1)**

- ☒ **A** They invest in government bonds
- ☒ **B** They trade currencies to profit from changes in exchange rates
- ☒ **C** They lend money to countries at low interest rates
- ☒ **D** They keep exchange rates stable by fixing the currency

(c) State **one** possible role of the World Trade Organization (WTO).

**(1)**

(d) What is meant by the term economic growth?

**(2)**

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## 23. Question 2 · part g · 9 marks

2025 NOV · Paper 02

Further practice · Attempt part g only.

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The Swedish economy has been in recession since 2023 and is expected to remain in recession until 2025. As a result, the demand for labour has fallen which has caused unemployment to increase.

(e) Explain **one** impact of rising unemployment on government spending on benefits in a country such as Sweden.

**(3)**

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## 23. Question 2 · part g · 9 marks

2025 NOV · Paper 02

Further practice · Attempt part g only.

In 2024, the European Union (EU) increased the tariff on all electric vehicles imported from China from 10% to 37.6%.

(f) Using the diagram below, draw the effects of the new tariff on the equilibrium price and quantity of electric vehicles imported into the EU from China. Label the new curve, the new equilibrium price and new equilibrium quantity.

**(3)**

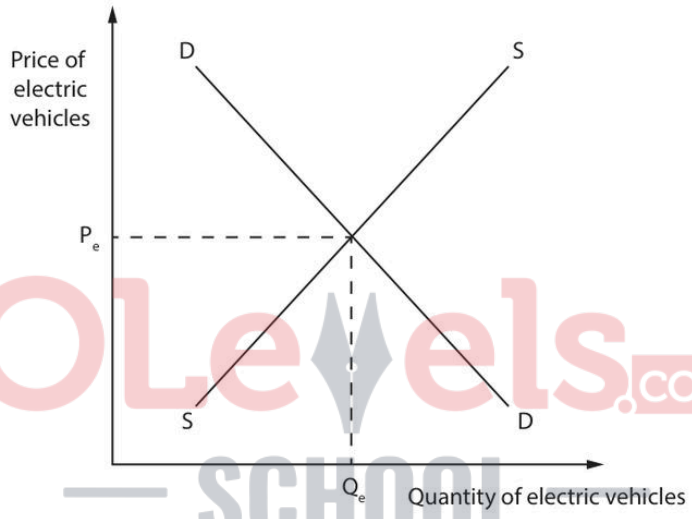



**Figure 2**

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## 23. Question 2 · part g · 9 marks

2025 NOV · Paper 02

Further practice · Attempt part g only.

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In August 2024, the central bank in New Zealand reduced the official base rate from 5.5% to 5.25%. It was the first cut since March 2020. New Zealand was no longer in recession but economic conditions were still difficult.

An economist from the Bank of New Zealand (BNZ) said a reduction was already overdue. "The New Zealand economy is struggling under the pressure of extremely tight monetary conditions, rising unemployment, reduced investment activity and weak consumer confidence."

(g) With reference to the data above and your knowledge of economics, assess how effective monetary policy is likely to be in increasing output for a country such as New Zealand.

**(9)**

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## 23. Question 2 · part g · 9 marks

2025 NOV · Paper 02

Further practice · Attempt part g only.

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**(Total for Question 2 = 20 marks)**

## 23. Question 2 · part g · 9 marks · Working and answer

Working and answer

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